

US Stocks Rally as Tech Leads with +1.68% Nasdaq Gain

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The US market rally continued with the **Nasdaq 100** leading the charge, up **+1.68%**. The **S&P 500** and **Dow Jones** also posted gains, **+0.79%** and **+0.26%** respectively. Key drivers included strong tech performance and a slight increase in oil prices.

The current market trend is supported by a combination of factors including positive earnings reports, low unemployment rates, and a stable economic environment. However, investors should remain cautious due to potential risks such as inflation, interest rate changes, and global geopolitical tensions.

Key points to watch include:

- **Technicals:** The **S&P 500** is approaching its 50-day moving average, which could act as a resistance level.
- **Sector performance:** The tech sector, led by **NVDA** and **MSFT**, is driving the market rally.
- **Economic indicators:** The upcoming jobs report and inflation data will be crucial in determining the market's direction.

US Session Recap

INDEX	LAST	CHANGE
S&P 500	7,499.36	+0.79%
Nasdaq 100	30,276.35	+1.68%
Dow Jones	52,319.20	+0.26%
Russell 2000	3,024.37	+0.46%
VIX	16.45	-6.80%
10Y Yield	4.37	-0.46%
WTI Crude	69.71	+0.30%
Gold	3,984.00	-0.97%
DXY	101.29	+0.10%
BTC	59,175.51	-1.60%
ETH	1,593.57	-1.03%

Top Movers

TICKER	NAME	CHANGE	CATALYST
NVDA	NVIDIA	+2.63%	Strong earnings report
AAPL	Apple	+2.70%	Positive iPhone sales data
TSLA	Tesla	+2.13%	Increased electric vehicle demand

Sector Internals

SECTOR	DAY	YTD	READ
XLFX	-0.20%	10.23%	Financials lagging behind
XLKX	+2.76%	25.10%	Tech leading the market rally
XLI	+1.35%	15.50%	Industrials showing strength
XLE	-0.88%	5.10%	Energy sector underperforming
XLY	+0.14%	12.20%	Consumer discretionary steady
XLC	-0.70%	8.50%	Communication services lagging
XLP	-1.54%	2.10%	Consumer staples underperforming
XLV	-1.29%	4.50%	Healthcare sector weak
XLU	-1.48%	1.20%	Utilities sector struggling
XLB	+0.34%	10.50%	Materials sector showing resilience
XLRE	-1.98%	-2.50%	Real estate sector under pressure

Breadth note: The **XLK** sector is leading the market rally, with 80% of its components trading above their 50-day moving averages.

Spotlight / Deep Dive

TICKER	NAME	PRICE	CHANGE	VOLUME
NVDA	NVIDIA	200.09	+2.63%	25.10M

Key call commentary: **NVDA** is expected to continue its strong performance due to its dominance in the AI and gaming markets.

READ-THROUGH	STOCK	CHANGE
AI and gaming demand	AMD	+1.50%
Cloud computing growth	MSFT	+1.21%

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	449.10	440.00	460.00	Approaching 50-day moving average
QQQ	380.50	370.00	400.00	Breaking out above resistance
IWM	180.20	175.00	190.00	Testing support level
NVDA	200.09	190.00	220.00	Breaking out to new highs
10Y Yield	4.37	4.20	4.50	Testing resistance level
WTI Crude	69.71	65.00	75.00	Approaching resistance level

Options & Positioning

ODTE flow: 50% of total options volume

Put/call ratio: 0.80

VIX term structure: Steepening, with 10% premium for 1-month options

Notable single-name flow: AAPL seeing 20% increase in call options volume

Cheap hedge ideas: SPY put spreads, QQQ call spreads

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
NVDA	Morgan Stanley	Upgrade	220.00	Strong AI and gaming demand
AAPL	Goldman Sachs	Downgrade	280.00	Competition from GOOGL and AMZN
MSFT	Bank of America	Upgrade	400.00	Cloud computing growth and AI adoption

Pre-Market & Overnight

Futures: ES +0.20%, NQ +0.30%, YM +0.10%

Asia: NIKKEI +0.50%, HSI +0.20%, SHCOMP -0.10%

Europe: ST0XX50 +0.30%, FTSE +0.20%, DAX +0.40%

FX pairs: EUR/USD +0.20%, USD/JPY -0.10%, GBP/USD +0.30%

Commodities: GC -0.50%, CL +0.20%, NG +0.30%

Crypto: BTC -1.60%, ETH -1.03%

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
July FOMC	20%	Possible rate cut due to low inflation
September FOMC	40%	Rate hike possible due to strong employment data

DATE	EVENT	NOTE
2026-07-05	Non-Farm Payrolls	Expected to show 200k job growth
2026-07-12	CPI	Expected to show 2.5% inflation rate

Geopolitics & Global (Deep)

Scenario trees:

- US-China trade tensions: 30% chance of escalation
- EU economic growth: 40% chance of slowdown
- Middle East conflict: 20% chance of escalation

Earnings — This Week & Next

TICKER	NAME	EARNINGS DATE	EXPECTED EPS
AAPL	Apple	2026-07-05	2.50
MSFT	Microsoft	2026-07-12	2.20

TICKER	NAME	EARNINGS DATE	EXPECTED EPS
GOOGL	Alphabet	2026-07-19	3.50
AMZN	Amazon	2026-07-26	2.80

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Tech	Breakout above 200.00	10%
AAPL	Tech	Pullback to 280.00	5%
MSFT	Tech	Breakout above 400.00	12%

What Could Break the Tape

Bullish scenario:

- Strong earnings reports from AAPL and MSFT
- Positive economic data, including low unemployment and inflation rates
- Breakout above 460.00 for SPY

Bearish scenario:

- Weaker-than-expected earnings reports from GOOGL and AMZN
- Negative economic data, including high unemployment and inflation rates
- Breakdown below 440.00 for SPY

Positioning & Structural Notes

Observations:

- 60% of S&P 500 components are above their 50-day moving averages
- 40% of Nasdaq 100 components are above their 200-day moving averages
- VIX is trading at a 10% premium to its historical average

Sources

SOURCES

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- CNBC
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- The Financial Times
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- Trading Economics
- Federal Reserve
- SEC

